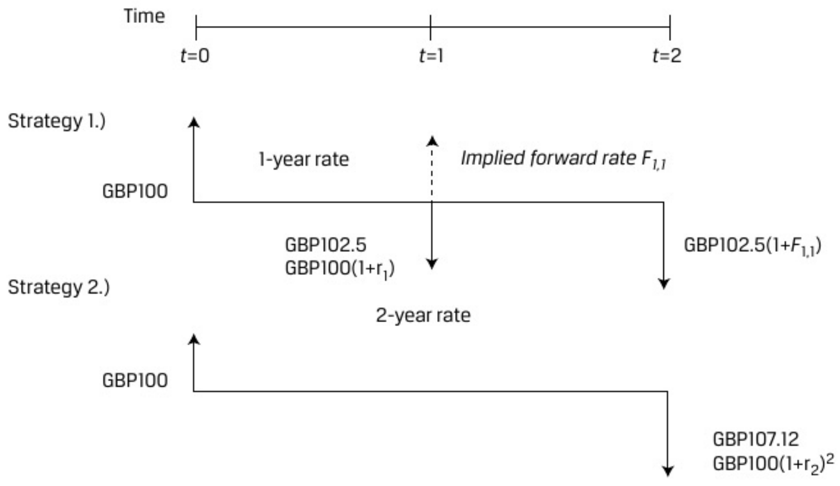
Exhibit 10: Implied Forward Rate Example



Under the cash flow additivity principle, a risk-neutral investor would be indifferent between strategies 1 and 2 under the following condition:

$$FV_2 = PV_0 \times (1+r_2)^2 = PV_0 \times (1 + r_1)(1+F_{1,1}), \tag{25}$$

GBP107.12 = GBP100 (1.025)$(1+F_{1,1})$, and

$F_{1,1}$ = 4.51%.

We can rearrange Equation 25 to solve for $F_{1,1}$ in general as follows:

$$F_{1,1} = (1 + r_2)^2/(1 + r_1) - 1.$$

To illustrate why the one-year forward interest rate must be 4.51 percent, let's assume an investor could lock in a one-year rate of 5 percent starting in one year. The following arbitrage strategy generates a riskless profit:

1. Borrow GBP100 for two years at 3.50 percent and agree to pay GBP107.12 in two years.
2. Invest GBP100 for the first year at 2.50 percent and in year two at 5 percent, so receive GBP107.63 in two years.
3. The combination of these two strategies above yields a riskless profit of GBP0.51 in two years with zero initial investment.

This set of strategies illustrates that forward rates should be set such that investors cannot earn riskless arbitrage profits in financial markets. This is demonstrated by comparing two economically equivalent strategies (i.e., borrowing for two years at a two-year rate versus borrowing for two one-year horizons at two different rates) The forward interest rate $F_{1,1}$ may be interpreted as the breakeven one-year reinvestment rate in one year's time.